

THE BEST ANNUITY PLANS

The pension amount is calculated assuming one invests ₹25 lakh (without GST)		Age 55		Age 60	
Plan	Benefits	Yearly Pension (₹)	Pension Rate (%)	Yearly Pension (₹)	Pension Rate (%)
Kotak Lifetime Income Plan - Joint Life Annuity with ROP	Get life-long pension. After you, your spouse gets full pension. Lump sum amount returned to nominee	1,58,619	6.29	1,60,156	6.34
Max Life Guaranteed Lifetime Income Plan - Joint Life Annuity with ROP		1,55,800	6.18	1,56,200	6.18
Bajaj Allianz Life Guaranteed Pension Goal - Joint Life Annuity with ROP		1,55,742	6.18	1,56,524	6.19
HDFC Life New Immediate Annuity Plan - Joint Life Annuity with ROP		1,55,250	6.16	1,61,250	6.38
IndiaFirst Life Guaranteed Annuity Plan - Joint Life Annuity with ROP		1,53,407	6.09	1,55,961	6.17
PNB MetLife Immediate Annuity - Joint Life Annuity with ROP		1,51,358	6.00	1,51,960	6.01
IPru Life Guaranteed Pension Plan - Joint Life Annuity with ROP		1,50,989	5.99	1,53,192	6.06
LIC India Jeevan Akshay-VII - Joint Life Annuity with ROP		1,48,555	5.89	1,49,320	5.97
SBI Joint Life Annuity Plus - Joint Life Annuity with ROP		1,47,029	5.83	1,51,147	5.90
Tata AIA Life Smart Annuity Plan - Joint Life Annuity with ROP		1,42,685	5.66	1,44,450	5.71

ALL ARE JOINT LIFE ANNUITY PLANS WITH ANNUITANT DEATH ASSUMED AT 80; WIFE 5 YEARS YOUNGER AND DIES 10 YEARS AFTER ANNUITANT; ROP: RETURN OF PREMIUM

SOURCE: POLICYBAZAAR.COM

NPS

National Pension System (NPS) is a low-cost and tax-efficient retirement savings account. Apart from 80C deduction, it also offers an extra deduction of ₹50,000 under section 80CCD (1B) of the Income-Tax Act. Unlike PPF, it gives you the flexibility to choose between the two options—active choice and auto choice.

In active choice, you can invest your money across four fund options. Equity (E) invests in equities with maximum exposure of 75 per cent, while Corporate Debt Scheme (C) invests in bonds issued by public sector undertakings (PSUs), public financial institutions (PFIs), infrastructure companies and money market instruments. The Government Securities (G) scheme invests in securities issued by central government, state governments, and money market instruments and the Alternative Investment Funds (A) scheme invests in instruments such as CMBS, REITS, AIFs, etc.

In auto choice, your funds have an equity exposure of 25-75 per cent that goes down as the subscriber approaches maturity. It also offers you two account types—Tier I and Tier II. While investment in a Tier I account is compulsory, Tier II is optional and allows withdrawals.

As on February 11, Scheme E gave average one-year return of 15.69 per cent against the benchmark of 16.59 per cent. Scheme C returned 6.20 per cent against the benchmark of 6.69 per cent over the last one year. Scheme G gave an average return of 3.8 per cent, while Scheme A returned 8.97 per cent.

Like a PPF account, NPS also comes with a lock-in period. It allows you to withdraw only 60 per cent of funds tax-free at the age of 60, while the remaining 40 per cent has to be used to buy annuities. In case of early exit, you have to annuitise 80 per cent of your money. Pension is a taxable income in the hands of the recipient.